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Binary Dummy Regression — Introduction

Practice Assignment • 10 min

Due Jul 22, 11:59 PM +07

Your grade: 100%

Your latest: **100%** • Your highest: **100%**

To pass you need at least 80%. We keep your highest score.

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1. A single binary dummy variable is useful to include in a regression if: 1 / 1 point

- ○ The variable is measured only in whole numbers.
- ◉ The variable can only take two possible values.
- ○ The variable is measured only in positive numbers.
- ○ The variable can take two or more values.

✓ Nice work

Yes, this is correct.

2. Suppose we are forecasting *HouseRent* using the regression equation: 1 / 1 point

House Rent = 2000 - 70*Distance_from_City + 200*Train

Where *Distance_from_city* is measured in kilometres, and *Train* is a binary dummy variable which can be true (if there is a train station nearby) or false (if there is no train station nearby).

(Note: No house is further than 25 kilometres from the city.)

What are some valid forecasting equations from the list below?

- ☑ If there is a train station nearby:

  House Rent = 2200 - 70*Distance_from_City